

ADDENDUM TO PURCHASE AGREEMENT: SHORT SALE CONTINGENCY

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1. Date
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3. Addendum to Purchase Agreement between parties, dated
4. (Date of this Purchase Agreement), pertaining to the purchase and sale of the Property at
5. .

6. The proceeds of the sale will not be sufficient to fully pay off all mortgages and other liens against the Property. As a
7. result, Seller must obtain "short sale" approval from one or more creditors. There may be various lienholders from
8. whom Seller may need approval: this includes but is not limited to senior and junior liens, if any, homeowner's
9. associations, or tax liens.

10. Short Sale Approval in this Addendum is defined as a mutually acceptable agreement between the creditor(s) and
11. Seller to accept Buyer's offer to purchase the Property on the proposed terms or any subsequently agreed terms
12. between Buyer and Seller.

13. This Purchase Agreement is contingent on the Short Sale Approval by Seller's creditors.

14. Seller shall obtain the Short Sale Approval(s) and notify Buyer, or licensee representing or assisting Buyer, in writing
15. of the approval(s) no later than . If Seller fails to obtain the necessary approval(s) and
16. provide Buyer, or licensee representing or assisting Buyer, with written notice by this deadline, this Purchase Agreement
17. is canceled, in which case Buyer and Seller shall immediately sign a *Cancellation of Purchase Agreement* directing
18. the release of the earnest money to Buyer.

19. The following provision(s) modify and supersede any conflicting term(s) in the Purchase Agreement and any Addenda
20. thereto **ONLY IF** the corresponding box is marked: (Select appropriate option(s) a-b.)

21. ☐ (a) Notwithstanding any provision of this Purchase Agreement to the contrary, Buyer shall not be required to provide
22. earnest money until Short Sale Approval has been obtained. Buyer shall pay the earnest money within three
23. (3) business days after Seller provides written notice to Buyer, or licensee representing or assisting Buyer,
24. that said approval has been obtained from all mortgagees and lienholders.

25. ☐ (b) Notwithstanding any provision of this Purchase Agreement to the contrary, the timeframe to perform inspection(s) shall
26. commence on the date that Seller provides written notice of Short Sale Approval from all mortgagees and
27. lienholders to Buyer, or licensee representing or assisting Buyer, rather than on Final Acceptance Date of this
28. Purchase Agreement.

29. **OTHER:**
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37. Property located at _____.

38. **NOTICE:** Buyer and Seller acknowledge the following:

39. • There are alternatives to short sale;
40. • A short sale will have legal, financial, or tax consequences;
41. • Non-recoverable expenses may be incurred; and
42. • Buyer and Seller are advised to seek legal, financial and tax advice prior to executing this
43. agreement.

44. _____ (Seller) _____ (Date) _____ (Buyer) _____ (Date)

45. _____ (Seller) _____ (Date) _____ (Buyer) _____ (Date)

46. **THIS IS A LEGALLY BINDING CONTRACT BETWEEN BUYER(S) AND SELLER(S).**

47. **IF YOU DESIRE LEGAL OR TAX ADVICE, CONSULT AN APPROPRIATE PROFESSIONAL.**

MN:APA:SSC-2 (8/20)